

Syllabus for Econ 102B, Principles of Macroeconomics

(This version: September 1, 2009)

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Department of Economics

Bowdoin College

Lecture time: T 10:00 - 11:25, TH 10:00 - 11:25

Place: Kanbar Hall-107

Note: I will be out of town on Thursday Oct 1st, hence there will be no class on that day. Instead of holding a makeup class, I will have a review session before the final.

Contact information

office: Hubbard 102

office hours: T 13:00-14:30, W 13:00-14:30, or by appointment.

phone: 207-798-4260

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web page: <http://www.bowdoin.edu/~ytang/>

Please note, I may not check emails frequently during evenings and weekends.

Course Description and Objectives

Macroeconomics concerns itself with the aggregate behavior of the economy. For most students, Econ 102 is the first course (and maybe also the last!) they take in macroeconomics. Materials covered in this course will prepare students for further study of economics. For those who do not continue to pursue economics, this course will also offer valuable knowledge useful in one's life.

The course will begin by looking into the measurement of key macroeconomic variables: national output, inflation and unemployment. We will then examine the determination of output in the long run and short run, and whether economic policies can mitigate short run fluctuations. Time permitting, we will also discuss the open economy topics of exchange rate, trade and capital flow.

Textbook and Reading Materials

Required textbook: Frank and Bernanke, *Principles of Macroeconomics*, 4th edition, McGraw-Hill Irwin. Besides learning from the text, it is important to apply the principles to understand macroeconomic news. I will provide on Blackboard a string of readings extracted from news media and other sources as the semester progresses. In some cases, they will be integrated into your assignments.

Quantitative Reasoning program

Youle Kang will be the QR program study group leader for this course. He will hold regular sessions for students who seek extra work on quantitative skills that are useful in this course.

Web information

All information, including information about reading materials, will be posted on the Blackboard web page for Econ 102B, accessible at <http://blackboard.bowdoin.edu/>. Some of the information will also be posted on my web page <http://www.bowdoin.edu/~ytang/>.

Evaluation

Your grade will be the greater of

1. assignments score * 20% + quizzes score * 10% + midterm exam score * 30% + final exam score * 40%
2. assignments score * 20% + quizzes score * 10% + final exam score * 70%.

There will be periodic assignments throughout the semester. Some of the assignments are individual assignments, meaning that each student must hand in a copy of the answers. Other assignments are group assignments, where a group of students (up to a maximum of three people) submit a single copy. The idea behind having two types of assignments is to encourage peer learning while keeping track of individual progress in the course. Before the solutions are posted, late submissions are acceptable at a penalty of 10%. Throughout the term, I will give two to three short in-class quizzes to check student understanding of course materials. An in-class midterm will be given on October 20th. Makeup exams can only be arranged in advance for family or medical emergencies. The final will be cumulative. According to the college registrar, the final exam period is between December 15th and 21st.

Academic Honesty

Students should be familiar with the Bowdoin College's Academic Honor Code, available at <http://www.bowdoin.edu/studentaffairs/student-handbook/college-policies/index.shtml>. In particular, for the individual assignments, students are encouraged to work together but they must each hand in their own copy of answers.

Tentative Schedule of Topics

Please note I reserve the right to change the order of topics, or to drop topics from the list. However, I will not add new topics.

1. Introduction
2. Key macroeconomic variables
 - GDP, Chapter 4
 - Inflation, Chapter 5
 - Unemployment, Chapter 6
3. Economic growth in the long run
 - Factors of production, Chapter 7, 8
 - Technology, Chapter 7
 - Role financial institution, Chapter 7, 8
4. Money and financial markets
 - Money and financial market, Chapter 9
 - The role of Federal Reserve Bank, Chapter 12
5. The economy in the short run
 - Short run fluctuations, Chapter 10
 - Spending and output in the short run, and stabilization: a Keynesian perspective, Chapter 11 and Chapter 12
 - Aggregate demand and supply model, Chapter 13
 - Macroeconomic policy, Chapter 14
6. Open economy topics
 - Exchange rate: PPP and IRP, Chapter 15
 - International trade and capital flow, Chapter 16